



MINUTES

The 40th Meeting of IT Steering Committee (ITSC) of Allied Bank Limited (ABL) was held on January 21st, 2022 at ABL Head Office, Lahore.

The meeting was chaired by Mr. Mujahid Ali along with other members of the Committee. The Forum congratulated Mr. Mujahid Ali (MUJ) on being selected as Chairman on ILink Board.

The Committee then considered agenda items as under:

Item No.1.: To confirm the Minutes of the 37th, 38th & 39th ITSC Meeting

The Chairman invited comments from the members on the minutes of 37th, 38th & 39th ITSC Meeting held on 14th October 2021, 15th November, 2021 & 29th December, 2021 respectively.

Since there were no comments or observations, the minutes were confirmed by the Committee.

Item No.2.: To peruse implementation status of previous recommendations by ITSC

Discussions:

Sr. No.	Meeting No. date	Item No. Concerned Group	Action Point	Updated Status
1	25 th ITSC 15.07.2020	Item 05 Imp	Operationalize Plan for the Implemented Big Data Use Cases	CRBG response as of 17th Jan. 2022
	34 th ITSC 24.5.2021	Item 02 Imp (3) DBG/ITG	1. Churn Prediction (DBG) & Customer Segmentation/Next Best Offer (DBG);	ITG's comments in attached PPT are self-explanatory.
			CRBG Update as of 12th Oct. 2021	 Churn Prediction - ITG Comments.pptx
	35 th ITSC 7.7.2021	Item 02 Imp (3) DBG/ITG	An analysis has been prepared as attached.	Furthermore, Circular has been issued on October 2021 to formally launch the uses cases.
			 RE Churn prediction PPT.msg	 ENHANCEMENTS IN CRM - CUSTOMER 3
	36 th ITSC 11.8.2021	Item 02 Imp (1) BSG/CRBG	We will share the same with the Field for feedback.	MHU apprised the Committee that both the use cases i.e. Churn Prediction and Next Best Offer have been operationalized after providing training to the field staff. In this regard, CIRCULAR NO. P/INT-2021/405 dated Oct 25, 2021 has also been issued with specific guidelines for the branch staff on usage of the implemented use cases. He further requested the Forum to close the item from the implementation status report with the assurance that monitoring results
	37 th ITSC 14.10.2021	Item 02 Imp (1) BSG/CRBG	Feedback has already been solicited from ITG, DBG and BSG.	
			We intend to share a joint proposal post receipt of feedback from the Field.	

			<u>37th ITSC: Remarks/Observation of the Committee:</u> MHU apprised the Committee that the feedback from the field staff is being collected at this point to address the issues that are being experienced with the use cases implementation. He further stated that CRBG shall share a joint proposal post receipt of the feedback from the field. He requested the Forum to review the progress of the use cases Bi-Annually. The Committee after detailed deliberation advised CRBG to share the progress with the ITSC Forum until the use cases are operationalized after resolution of the issues.	of the implemented use cases shall be shared to the Forum Bi-Annually. <u>40th ITSC: Remarks/Observation of the Committee:</u> The Committee after detailed deliberation decided to close the item from the implementation status report and advised CRBG to present an update to ITSC on Bi-Annual basis.
2	35th ITSC 7.7.2021 36th ITSC 11.8.2021 37th ITSC 14.10.2021	Item 02 Imp (3) DBG/ITG Item 02 Imp (1) DBG Item 02 Imp (1) DBG	<u>Operationalize Plan for the Implemented Big Data Use Cases</u> <u>RPA Use Case Matrix:</u> ZSH apprised the committee members that Trade related part of S1 (ITRS) has been developed in T24 whereas non trade related entries (Branch end) have been evaluated and agreed with ITG/DBG/Fl.Ops and branches. <u>DBG status as of 11th Oct. 2021</u> Part I, Trade Related Development RPA part is under Development with ITG and timeline is to be shared by ITG. Once RPA for Part I completed would be operational with respect to Part I. ITG status as of 11th Oct. 2021 ITRS S1 Schedule field mapping and rules exercise is in-process between BSG and ITG. Once mapping activity is completed; Scope document will be prepared for sign-off; to proceed with development phase. <u>DBG status as of 11th Oct. 2021</u> Part II, Non-Trade Related Development: Under Development with ITG and UAT will be offered in Q4, 2021. <u>37th ITSC: Remarks/Observation of the Committee:</u>	<u>DBG/BSG response as of 14th Jan. 2022</u> After implementation of PSW in Jan 2022 the EFEs & EIFs will be replaced with GD (Import/Export FIs) and mapping would be changed accordingly. Further additional fields were introduced recently vide Testing of the new version (5.2) of ITRS client application in schedules A1/O1, A2/O2, E2/P2, E3/P3, E4/P4 & J/O-3 and could be further changed w.r.t PSW. ZSH apprised the Committee that with the implementation of Pakistan Single Window (PSW), new fields have been introduced. The information provisioning of the new fields within T24 need to be arranged. On the same lines, ITRS was further revised by SBP recently. Due to aforementioned factors, the use case needs to be revamped with revised mapping keeping in view the changes. <u>40th ITSC: Remarks/Observation of the Committee:</u> The Committee noted the status.

			The Committee noted the status and advised ZSH to keep the Forum updated on the progress.	
3	36th ITSC 11.8.2021 37th ITSC 14.10.2021	Other Matters (1) Item 02 Imp (1) InfoSec/IT G	<u>Disposal of Obsolete IT Assets</u> AEJ apprised the Committee members that InfoSec and ITG are working on disposal procedure of IT equipment with a special focus on storage devices. He further stated that the existing GSG policy only provides guidelines for disposal of general items. <u>37th ITSC: Remarks/Observation of the Committee:</u> The Committee after detailed deliberation advised AEJ to update the Forum on the progress until the procedure is finalized.	<u>InfoSec/ITG Comments as of 16th Jan. 2022</u> The Procedure for the Asset disposal has been drafted by ITG and InfoSec and sent to GSG and FG for their feedback. There are certain changes proposed by both the groups which are under review. Once finalized, the document would be circulated to all the groups as per bank's procedure. AEJ updated the Committee that drafted procedure by ITG and InfoSec has been shared with GS&RE for their review and feedback. Furthermore, the finalized procedure shall be incorporated in the Bank's disposal policy owned by GS & RE. <u>40th ITSC: Remarks/Observation of the Committee:</u> The Committee noted the status.
4	37th ITSC 14.10.2021	Item 10 Imp (1) InfoSec/IT G	<u>List of Applications for Classification – Critical / Non-Critical</u> AEJ apprised the Committee members that in compliance to 32nd ITSC directive, InfoSec has reviewed the critical application list in consultation with ITG, DBG and Compliance Group and number of critical applications are reduced to 26 from 68. At this point SAZ suggested that this should be considered as benchmark for VA/PT as this list is classified w.r.t tech, functional bifurcation is very complex. He further suggested that this list should be vetted from concerned functional owners of the applications. <u>37th ITSC: Remarks/Observation of the Committee:</u> The Committee after detailed deliberations recommended to share the revised Critical applications list with business owners and share the current list with MANCO for their information	<u>InfoSec Comments as of 16th Jan. 2022</u> Revised list of Applications for classification is attached  AEJ updated the Committee that the as per the Forum's advice, the list has been revised in consultation with the business groups. After due diligence, 3 more applications, BancAssurance System, CAMS and Credit Card eCIB Report Interface, have been added to the Critical category bringing the total of critical applications to 29 from previously shared 26. <u>40th ITSC: Remarks/Observation of the Committee:</u> The Committee after detailed deliberation decided to close the item from the implementation status report and advised CRBG and InfoSec to review the criticality of the 'Credit Card eCIB Report Interface' and recommend the same to MANCO for their approval.
5	38th ITSC 16.11.2021	Item 1 Imp (1)	<u>Additional License Procurement of Trend Micro Deep Security (Virtual Patch Management Solution)</u>	<u>ITG Comments as of 19th Jan. 2022</u> Reference to discussion with InfoSec it is recommended

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		ITG/INFO SEC	SHR apprised the Committee members that The Bank procured "Trend Micro Deep Security Enterprise" solution in 2019 to cater the virtual patching and server security requirement of production systems. Initially, 201 licenses were procured for production systems. He further explained that the application footprint of the Bank has been increased considerably causing full consumption of the initially procured licenses. Subsequently, there is a requirement to procure additional licenses of Trend Micro Deep security so that more systems can be covered through virtual patching and server security. MUJ invited InfoSec point of view on which AEJ explained that this is a middle layer of security for all the applications which are in sunset phase or under testing condition or obsolete applications. To avoid any vulnerability on these applications this virtual patch will be effective. IMQ inquired how many applications are currently deployed in bank to which SHR responded that currently almost 101 applications are deployed in bank IMQ inquired that we have already 201 licenses for 101 applications to which SHR explained that this license is VM based and application can have more than one VM. At this point, AHM commented that referencing the recent exercise to identify critical applications list across the Bank, there is a need to reassess the requirement with respect to the number of identified critical applications viz-a-viz number of additional licenses required. <u>38th ITSC: Remarks/Observation of the Committee:</u> The Committee after detailed deliberations recommended that System Infrastructure and InfoSec with all application owners will mutually decide that which applications required VPM and update the Forum	that we should proceed with the critical applications. <u>Request for closure of this point from implementation status report.</u> SHR apprised the Committee that the matter was discussed in detail with InfoSec and mutual agreement is that we should proceed with implementation of VPM on critical applications only. <u>40th ITSC: Remarks/Observation of the Committee:</u> The Committee noted the status and decided to close the item from the implementation status report.
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Item No.3.: MANCO Approval/Decisions for ITSC Recommendations:

Discussions: Secretary ITSC apprised the Committee members that MANCO has reviewed and approved the following proposals and updates duly recommended by ITSC:

1. Proposal regarding upgrade of Bath Island (BIB) Office Campus (LAN) Network Infrastructure as recommended by ITSC in its 37th Meeting held on 14.10.2021
2. Proposal regarding awarding implementation of Enterprise Loyalty Program as recommended by ITSC in its 37th Meeting held on 14.10.2021
3. Proposal regarding Microsoft Exchange Online Cloud Proof of Concept (POC) as recommended by ITSC in its 37th Meeting held on 14.10.2021
4. Peruse an update on Security Operations Center (SOC) as recommended by ITSC in its 37th Meeting held on 14.10.2021
5. Proposal regarding DBG's recommendation on Debit Card Fraud Management Systems & Insurance Cost Rationalization as recommended by ITSC in its 37th Meeting held on 14.10.2021
6. Proposal regarding revision in limits for NIFT/APPS – account based local e-commerce channel as recommended by ITSC in its 37th Meeting held on 14.10.2021
7. Proposal regarding customer experience enhancements on ATM cash withdrawal as recommended by ITSC in its 37th Meeting held on 14.10.2021
8. Proposal regarding subscribing for membership of Pakistan Fintech Network & Pakistan Freelancers Association as recommended by ITSC through circulation # 10 dated 25.10.2021
9. Proposal regarding 'Procurement of ATM Monitoring and Customer Service Solution' as recommended by ITSC in its 38th Meeting dated 15.11.2021
10. Proposal regarding 'Acquisition of IBM Power10 Servers to replace IBM Power7+ Machines for T24' as recommended by ITSC in its 38th Meeting dated 15.11.2021
11. Proposal regarding 'Upgrade of Internet Segment Infrastructure at Primary Data Centre' as recommended by ITSC in its 38th Meeting dated 15.11.2021

AHM at this point suggested to present only those items in future where MANCO has given a directive/action item against ITSC recommended proposals. This would allow ITSC to focus on the items that need immediate attention. The Forum agreed to the suggestion.

Decision: The Committee noted the MANCO updates and after detailed deliberations recommended to present only those MANCO decisions where an action item/directive has been identified which demands the Forum's attention.

Item No.4.: MANCO Approval/Decisions on 36th and 37th ITSC Minutes:

Discussions: Secretary ITSC apprised the Committee members that MANCO has reviewed and approved the 36th and 37th ITSC minutes in its 145th and 147th meetings respectively.

Decision: The Committee noted the presented MANCO decisions.

Item No.5.: Top 10 delayed CRF MIS (status wise)

Discussions: SKH apprised the committee members that in compliance to the 37th ITSC directive, an exercise has been conducted by PMO in consultation with the Business Groups to review the pending CRFs with an intention to identify and close all those change requests in software change management system (SCMS) which are not needed anymore. He further stated that consequently 43 CRFs have been closed in the System. Revised data for the Top 10 delayed CRF data was then displayed for the Forum's information as follows:

Groups	Closed	Hold	In-Progress	Priority Raised	Ready for Deployment	Response Awaited	UAT	Grand Total
Audit & RRG	3							3
BSG	8	4	5				1	18
CIBG	10							10
Compliance						5		5
CRBG	2		7					9
DBG	2	1	4					7
FG-Finance Group	9		2					11
IBG	3		1					4
RMG	5			3	4	3		15
SAMG	1							1
Grand Total	43	5	19	3	4	8	1	83

AHM suggested that the exercise should include complete repository of pending CRFs, including the change requests that have been logged in SCMS as a result of regulatory requirement. The Forum agreed to the suggestion.

Decision: The Committee after detailed deliberations advised following for MANCO approval:

1. PMO to take up all pending CRF in the SCMS repository with concerned business groups for possible closure of all those Change Requests that either are not needed anymore or have been deployed on production and update the Forum accordingly.

Item No.6.: Technology Board Projects Progress Update (EPM Dashboard)

Discussions: The item was deferred till next meeting.

Item No.7.: Technology Management Projects Progress Update

Discussions: The item was deferred till next meeting.

Item No.8.: Discussion on: "Decommissioning of Big Data Use Case – Sentiment Analysis"

MTK apprised the Committee members that "Sentiment Analysis" was part of Big Data initiative and is one of the 4 big data use cases. He further stated that the objective of the use case was to analyse external/social media platforms and gauge user sentiments and subsequently making an effort to improve user experience with ABL. The use case was implemented and its results were available but meanwhile DBG has acquired another product "Sprinklr" which not only caters the original objective of the use case but also offers additional features to enhance use experience further.



MMT commented that this use case was made based on Sentiment Analysis and initially social media (Facebook) comments were included. However, this sentiment analysis could be used for any textual analysis.

MUJ at this point suggested that a detailed presentation should be arranged to give an overview of the features and benefits that could be obtained from newly acquired "Sprinklr" product. MUJ further advised, based upon observation of MMT, that in future for any textual analysis requirement the usage of existing sentiment analysis should be evaluated.

Decision: The Committee after detailed deliberations recommended the following for MANCO approval:

1. "Sentiment Analysis" use case may be decommissioned for Social Media Analytics
2. DBG to arrange detailed presentation on "Sprinklr" and present the same to ITSC

Item No.9.: *Recommendation on "Information Security Awareness Program"*

Discussions: AEJ apprised the Committee members that in order to prepare the organization to efficiently counter the modern threat landscape, there is a need to bring security awareness amongst the Bank's employees. He further stated that cyber awareness training raises awareness of security issues so that employees can recognize threats to the business and act correctly.

In this regard, InfoSec has evaluated two cyber security training companies. SANS (System Administrator, Audit, Network and Security) and KNOWBE4 that specializes in Information security awareness program with phishing simulations. InfoSec team also conducted a detailed technical session of both these cloud-based platforms and found them to be enriched and fulfilling our requirements. The awareness program includes video content, engagement materials, factsheets, posters, newsletters, digital content, **Trainings for Administrators, PCI-DSS training, Secure coding practices training for Developers, quizzes, short war games, Phishing Simulations** etc.

He then presented the cost of the solutions for the Forum's information:

Product	# of License	Total Cost
KNOWBE4	1000	USD 14,715 / Year
SANS	1000	USD 27,500 / Year

Apprising the Committee on the evaluation results AEJ stated that InfoSec is recommending to subscribe for KNOWBE4 Security awareness program, through Digital Arrays, for 1000 staff members for a year.

Decision: The Committee after detailed deliberations recommended the following for MANCO approval:

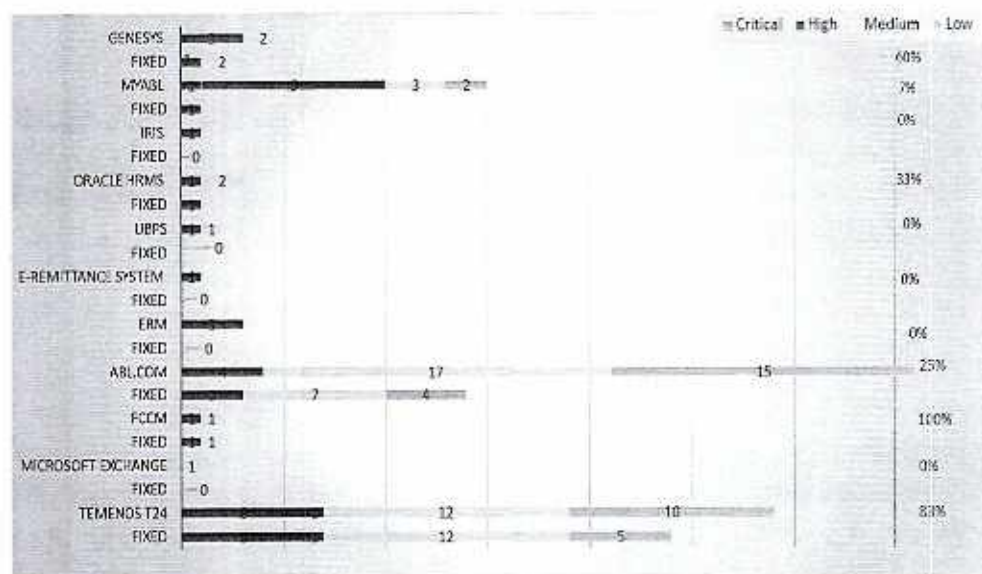
1. To accord approval in favor of **M/s. Digital Arrays** of amount **USD 14,715/-** (exclusive of tax) for procurement of KNOWBE4 subscription-based platform for a period of 1 year
2. The amount would be debited form the ITG budget head of Opex - Hardware/Software maintenance contract.



Item No.10.: Update on "Security Assessment VA/PT Reports"

Discussions: AEJ presented the detailed vulnerability assessment (VA)/ Penetration Testing (PT) statistics to the Forum and briefed that the compiled data presents improvement in the fixation status of vulnerabilities in the VA reports. However, vulnerabilities identified in the "External Black Box and Internal Grey Box PT 2021 FireEye" as well as "Mobile App PT" reports need more attention since noticeable progress in these reports have not been made. Especially talking about myABL, AEJ pointed out that no remediation has been performed on the vulnerabilities identified on mobile application as these were reported in June 2021. He further added that code obfuscation / Locking for myABL needs to be revisited so as to build a strong control for Android app.

He then presented the status of Security Assessment status of the Critical Applications for the Forum's consideration:



Decision: The Committee reviewed the status of the VA/PT reports and advised technical teams to adopt a focused approach towards resolving the outstanding vulnerabilities starting from the Critical Applications on priority.

Item No.11.: Recommendation on "New Bill Payment System"

Discussions: MTK apprised the Committee members that Utility Bills Payment System (UBPS) offered by M/s TPS is being used within the Bank since 2006. UBPS has 3 integration models:

1. ILink
2. Data Hosting
3. Direct Integration

He further stated that major limitations with UBPS is Bank's entire dependency on M/s TPS as well as unavailability of extensibility framework. In order to address these limitations, M/s Systems Limited was engaged along with M/s TPS. He then presented the financial and technical comparative analysis summaries for the Forum's information:

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Financial Proposal Comparison					
Vendor	Capex Price		Opex Price (Yearly Basis)		
	Initial	Negotiated	Initial	Negotiated	Details
Systems	USD 223,956	USD 100,000	USD 33,593	USD 15,000 (PKR 3 million)	Estimated opex cost in PKR is converted based on USD to PKR exchange rate with 200.
TPS	USD 45,000	USD 40,000	PKR 11.4 million	PKR 11.4 million	Per Transaction rate is PKR 1.17 or PKR 950,000 per month whichever is higher (811,966 transactions per month will be covered with minimum Opex cost). Per transaction charges would be increased by 5% after each year. Contract period is 5 years and in case of termination ABL will pay remaining period charges based on last paid month amount.

S. No.	Evaluation Category	Systems Ltd.	Vendor
1	Domain Knowledge	70%	TPS Pakistan 100%
2	Support of Micro Services Architecture	Yes	Currently not available but it can be part of Future Road Map. Cloud support is readily available and they are working on cloud optimization with containerization approach.
3	Migration of Legacy Billers (Offline, Online & 1Link)	Yes	Yes
4	Extensibility Framework	95%	70%
5	Local Support	Yes	Yes
6	Current Implementations	0	3
7	Technical Expertise	100%	90%
8	System Implementation Time	7 Months	8 Months
9	Migration Time		
10	Future Support	SLA Model	Support Services are part of Opex cost with 30 Man Days for Customizations
11	Source Code Availability	Yes	No

He then sought Forum's recommendation to award implementation of new bill payment system to M/s Systems Limited with following financials.

- Capital Expenditure of USD 100,000 plus tax to be paid from 2022 Capex budget head "Upgrade of Bill Payment System" as per following **Payment Terms**:

Payment Milestone	Payment Percentage
Project Kick Off	10%
FSD Sign Off	20%
Development Completion	20%
UAT Sign Off	20%
Go – Live Sign Off	20%
Post Go Live after Warranty Period of 3 Months	10%

- Annual maintenance support of USD 15,000 plus tax to be paid from Opex budget head "Hardware/ Software Maintenance" after post go live warranty period.

Decision:

The Committee after detailed deliberations recommended the following for MANCO approval:

1. To accord approval for implementation of new bill payment system to M/s Systems **Limited** with following financials:
 - i. Capital Expenditure of **USD 100,000/-** plus tax to be paid from 2022 Capex budget head "Upgrade of Bill Payment System" as per following **Payment Terms:**

Payment Milestone	Payment Percentage
Project Kick Off	10%
FSD Sign Off	20%
Development Completion	20%
UAT Sign Off	20%
Go – Live Sign Off	20%
Post Go Live after Warranty Period of 3 Months	10%

2. Annual maintenance support of **USD 15,000/- plus tax** to be paid from Opex budget head "Hardware/ Software Maintenance" after post go live warranty period

Item No.12.: *Recommendation on "Procurement of Oracle WebLogic Enterprise Edition, Oracle Access Management Suite and Oracle Web Tier Core Licenses"*

Discussions:

SHR apprised the Committee members that myABL is based on "Oracle Banking Digital Experience" (OBDX) in addition to the following Oracle products stack which has core-based licensing:

1. Oracle WebLogic Enterprise Server
2. Oracle Web Tier
3. Oracle Access Management Suite (Identity Management Software)

The Bank has recently signed Unlimited License Agreement (ULA) with Oracle for OBDX keeping in view the increase in number of users. However, additional licenses are needed for aforementioned products stack for smooth operation of OBDX as per following details:

Sr #	Product Name	Metric	Licenses (Cores)
1	Oracle WebLogic Enterprise Edition	Processor	38
2	Oracle Access Management Suite	Processor	12
3	Oracle Web Tier	Processor	10

Apprising the Committee on the financials **SHR** stated that initially, M/s Oracle submitted the proposal for aforementioned software licenses with the quoted price of **USD 3,855,200/- (exclusive of taxes)** with one-year support. However, after having extensive negotiations, 63.5% discount was offered on the quoted price bringing it down to **USD 1,407,148/- i.e., PKR 249,065,196/- (exclusive of taxes) with one-year support.**



After the expiry of 1st year support, Operating Expenditure with 4% escalation amounting to **PKR 46,709,932/-** will be paid in 2nd year. However, on 3rd year support there will not be any increase, which means 3rd year support will remain the same as 2nd year support. Project financial summary was then presented for the Forum's information as follows:

Sr #	Product Name	Metric	Licenses (Cores)	Price In USD	Price In PKR (1 USD = 177 PKR)	1st Year Support Charges @ 22% USD	1st Year Support Charges @ 22% PKR	Total Price In USD	Total Price In PKR (1 USD = 177 PKR)
1	Oracle WebLogic Enterprise Edition	Processor	30	346,750	61,374,750	75,285	13,502,445	423,035	74,877,195
2	Oracle Access Management Suite	Processor	12	788,400	139,546,800	175,440	30,700,296	961,848	170,247,096
3	Oracle Web Tier	Processor	10	18,250	3,230,250	4,015	710,655	22,265	3,940,905
Total (Exclusive of Taxes)				1,153,400	204,151,800	253,748	44,913,396	1,407,148	249,065,196

SHR further stated that Oracle agreed that **"Allied Bank can utilize these licenses along with the previously procured licenses on any software/application either running on Production, DR, UAT, Staging, Development or Test environments"**.

Decision: The Committee after detailed deliberations recommended the following for MANCO approval:

1. Procure aforementioned Oracle Products Core Licenses from M/s Oracle at **PKR 249,065,196/- or USD 1,407,148/- (Exclusive of Tax)**, having CAPEX of **PKR 204,151,800/-** and 1st year OPEX of **PKR 44,913,396/- (Exclusive of Tax)**
2. Capital Expenditure of **PKR 249,065,196/- (Exclusive of Tax)** will be made through IT CAPEX Budget Head of Year 2022 - **"Contingency 2022"**
3. After the expiry of 1st year support, operating expenditure with 4% escalation amounting to **PKR 46,709,932/- (Exclusive of tax)** will be paid in 2nd year through IT OPEX Budget Head **"MAINT CONTRACT HARDWARE/SOFTWARE"**. However, on 3rd year support there will not be any increase, which means 3rd year support will remain the same as 2nd year support.
4. The payment schedule would be 100% on the delivery of licenses

Other Matters:

1. Recommendation on **"Acquiring Business – Merchant Acquiring System Selection"**

Discussions: MZA apprised the committee members that in compliance to 39th ITSC directive, the proposal is revisited with all relevant Groups including ITG, HRG and FG. He then highlighted the revisions made to the proposal as per following details:

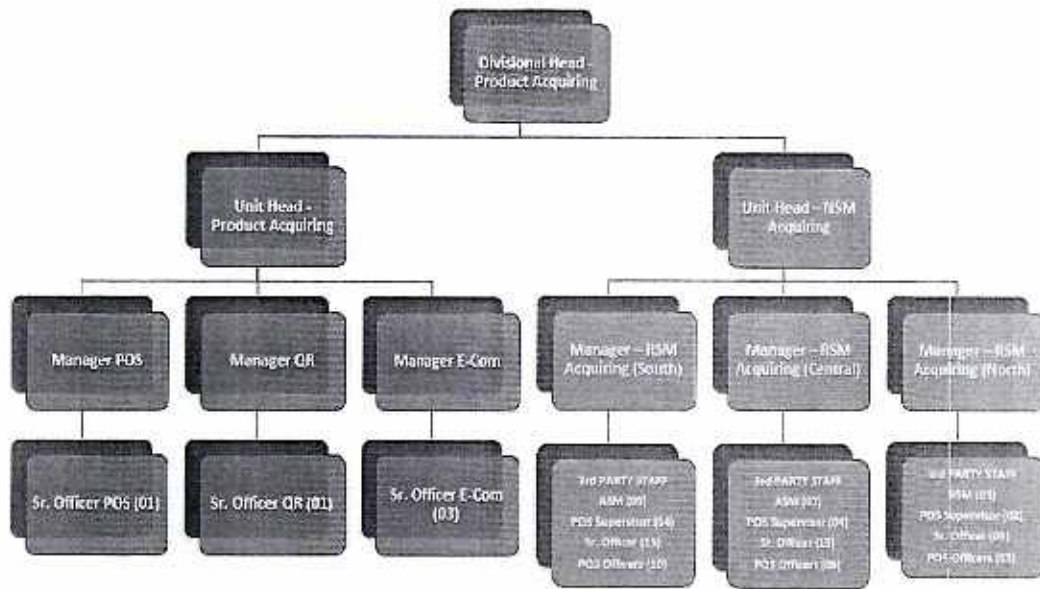
Revision in 5 years Financial Projection:

Description	Total CAPEX Cost	Amortized on period	Year 01	Year 02	Year 03	Year 04	Year 05	5 Years Total	15 Years Total
POS Terminals	5,000		1,000	1,000	1,000	1,000	1,000	5,000	50,000
QR Code	2,688		538	538	538	538	538	2,688	26,880
E-Comm Merchants	48		10	10	10	10	10	48	480
Revenue (Mn)	39		8	8	8	8	8	39	390
CAPEX Cost (Mn)	88		18	18	18	18	18	88	880
Post License & Implementation	95	20 years	5	5	5	5	5	25	450
POS Hardware & Software	44	5 years	9	9	9	9	9	45	450
NAC	25	7 years	4	4	4	4	4	16	250
E-Comm Gateway	17	7 years	3	3	3	3	3	15	150
Payment Schemes License & Implementation	10	7 years	2	2	2	2	2	10	100
OPEX Cost (Mn)			205	202	405	541	563	2,092	6,752
Post Acquiring Cost	17		3	3	3	3	3	15	150
Payment Schemes Float Cost	42		8	8	8	8	8	32	320
Payment Schemes Recurring Cost	13		3	3	3	3	3	15	150
POS, QR, & E-Comm Recurring Cost	60		12	12	12	12	12	60	600
Marketing Exp. (A) (Excl. from POS Marketing Budget)	60		12	12	12	12	12	60	600
HR Cost	60		12	12	12	12	12	60	600
Provisioning Chargeback	7		1	1	1	1	1	5	50
Net Profit (Mn)			204	202	405	541	563	2,092	6,752
Accumulated Net Profit (Mn)			204	202	285	436	592	1,719	3,277

• Excluding IT Infrastructure Cost

Revised Resource Hiring Plan (ITG Resources Cost Added):

1. Revised Structure of Acquiring Business with addition of Sales & Support team



2. Acquiring Business Overall Hiring Plan – All Groups

PKR in Million

ABL Acquiring Business	Corporate Grade	Loaded Cost (PKR)	Base Year		Year 01		Year 02		Year 03		Year 04		Year 05		5 Year Total		10 Year Total	
			Count	Cost	Count	Cost	Count	Cost	Count	Cost	Count	Cost	Count	Cost	Count	Cost	Count	Cost
Product Team			8	7.80	15	31.90	16	35.15	16	37.96	17	41.75	17	45.03	17	109.05	18	434.81
Divisional Head Product - Acquiring	MG 6/5	400,000	1	2.40	1	5.18	1	5.80	1	6.05	1	6.53	1	7.05	1	32.81	1	77.50
Unit Head Product - Acquiring	MG 6/7	300,000	1	1.80	1	3.59	1	4.20	1	4.53	1	4.90	1	5.29	1	24.61	1	59.12
Manager POS	MG 7/5	150,000	1	0.90	1	1.94	1	2.10	1	2.27	1	2.45	1	2.64	1	12.30	1	29.05
Manager eCommerce	MG 7/8	150,000	1	0.90	1	1.94	1	2.10	1	2.27	1	2.45	1	2.64	1	12.30	1	29.05
Manager QR	MG 7/8	150,000	1	0.90	1	1.94	1	2.10	1	2.27	1	2.45	1	2.64	1	12.30	1	29.05
Unit Head RSM Acquiring	MG 7/8	350,000	-	-	1	4.23	1	4.54	1	4.90	1	5.29	1	5.71	1	24.64	1	60.84
RSM Acquiring	MG 8/5	250,000	-	-	2	9.02	3	9.72	3	10.52	3	11.34	3	12.24	3	52.80	3	130.38
Senior Officer POS	MG 8/10	50,000	1	0.30	-	0.55	1	0.70	1	0.75	1	0.82	1	0.88	1	4.10	1	9.09
Senior Officer eCommerce	MG 8/10	50,000	1	0.30	2	1.32	3	2.10	3	2.27	3	2.45	3	2.64	3	11.05	3	27.81
Senior Officer QR	MG 8/10	50,000	1	0.30	-	0.55	1	0.70	1	0.75	1	0.82	1	0.88	1	4.10	1	9.09
Senior Officer Sales & Distribution	MG 8/10	50,000	-	-	2	1.20	2	1.30	2	1.40	3	2.27	3	2.45	3	9.67	3	23.59
Credit Appraisal Team			-	-	2	1.50	4	2.52	4	3.15	5	4.15	5	4.45	5	18.21	5	44.08
A. Manager Credit Appraisal	MG 8/9	75,000	-	-	1	0.90	1	0.97	1	1.03	1	1.13	1	1.22	1	5.26	1	13.04
Senior Officer Credit Appraisal	MG 8/10	50,000	-	-	1	0.60	3	1.34	3	2.10	4	3.02	4	3.27	4	10.93	4	27.62
Acquiring Operations Team			4	3.21	11	3.08	16	14.25	18	17.55	20	14.94	21	28.53	21	95.76	24	224.16
OH - Channel Building Ops (Training, Card Ops)	MG 5/6	300,000	-	-	1	0.90	1	1.26	-	1.59	1	1.56	-	2.54	1	8.25	-	23.11
OH - Payment & Settlement	MG 6/7	225,000	1	1.35	1	1.46	1	1.73	-	2.04	1	2.52	-	3.33	1	12.50	-	34.45
OH Ops - Data Entry & Iss Processing, Chargeback	MG 6/7	225,000	-	-	1	1.55	1	1.73	1	2.04	1	2.52	1	3.33	1	15.44	-	39.94
Manager Settlement & Payments	MG 7/8	160,000	1	0.96	1	1.45	1	1.57	1	1.69	1	2.69	-	2.90	1	15.28	-	39.64
Manager DRU & Charge Back	MG 7/8	160,000	1	0.60	1	0.79	1	0.49	1	0.60	1	1.29	-	1.54	1	4.51	-	14.55
A. Manager Settlement & N Payment	MG 8/9	80,000	-	-	-	-	1	0.99	1	0.63	1	0.99	1	1.09	1	3.25	-	9.95
A. Manager Data Entry & IP	MG 8/9	80,000	-	-	-	-	1	0.84	1	0.91	1	0.98	1	1.05	1	3.78	-	10.43
A. Manager Charge Back	MG 8/9	80,000	-	-	-	-	1	0.99	1	0.63	1	0.99	1	1.05	1	3.25	-	9.95
A. MIS & Reconciliation	MG 8/9	80,000	-	-	1	0.72	1	0.84	1	0.91	1	0.98	1	1.05	1	4.50	1	11.21
Senior Officer Settlement & Payments	MG 8/10	50,000	1	0.30	1	0.55	1	0.70	1	0.75	1	0.82	2	1.76	2	4.98	5	31.55
Senior Officer Data Entry & IP	MG 8/10	50,000	-	-	1	0.52	1	0.70	2	1.51	3	2.45	3	2.64	3	7.91	6	36.49
Senior Officer Charge back	MG 8/10	50,000	-	-	1	0.62	2	1.40	3	2.27	4	3.27	4	3.50	4	11.05	6	41.51
Senior MIS, Reporting and Reconciliation	MG 8/10	50,000	-	-	1	0.92	2	1.40	2	1.51	2	1.63	2	1.78	2	6.91	3	24.69
Officers	MG 12/11	50,000	-	-	1	0.35	1	0.42	1	0.45	1	0.49	1	0.53	1	2.25	3	11.74
Fraud and Risk Management Group			-	-	4	3.12	6	5.95	8	7.55	10	9.37	11	10.12	10	36.13	12	100.27
Manager	MG 7/8	120,000	-	-	1	1.80	2	3.80	2	4.20	2	4.53	2	4.90	2	19.02	2	50.25
Senior Officer	MG 8/10	50,000	-	-	1	0.60	2	1.30	3	2.10	4	3.02	4	3.27	4	10.28	4	25.97
Officers	MG 12/11	50,000	-	-	2	2.72	2	0.78	3	1.26	4	1.61	4	1.95	4	8.53	4	19.04
Information Technology Group			-	-	5	4.60	5	4.01	5	5.16	5	5.42	5	5.55	5	25.00	5	59.00
Manager ITG	MG 7/8	150,000	-	-	1	1.80	1	1.89	-	1.90	1	2.08	1	2.15	1	9.95	1	23.64
Senior Officer ITG	MG 8/10	50,000	-	-	2	1.44	2	1.51	2	1.59	2	1.67	2	1.75	2	7.96	2	19.11
Officer ITG	MG 10/11	50,000	-	-	2	1.44	2	1.51	2	1.59	2	1.67	2	1.75	2	7.96	2	19.11
Total ABL HR Cost			12	11.01	27	42.37	47	61.94	51	52.79	57	83.08	60	91.03	59	389.27	73	227.55

3. Sales & Support Team – Outsourced Staff Hiring Plan

PKR in Million

ABL Acquiring Business	Grade	Cost (PM)	Base Year		Year 01		Year 02		Year 03		Year 04		Year 05		5 Year Total		Total 10 Years	
			Count	Cost	Count	Cost	Count	Cost	Count	Cost	Count	Cost	Count	Cost	Count	Cost	Count	Cost
Manager Tech Support (IT Dept)	3rd Party	0.15	-	-	1	2	1	2	1	2	1	2.45	1	2.64	1	11.4	1	28.15
Senior Officer Tech Support (IT Dept)	3rd Party	0.05	-	-	2	1	2	1	2	2	2	1.63	2	1.78	2	7.6	2	18.77
Area Sales Manager POS	3rd Party	0.1	-	-	10	13	10	14	10	15	10	15.33	10	17.53	10	76.03	10	187.75
Area Sales Manager eCommerce	3rd Party	0.1	-	-	3	4	5	7	7	11	7	11.43	7	12.34	7	45.24	7	123.44
Area Sales Manager QR	3rd Party	0.1	-	-	2	3	2	3	2	3	2	3.27	2	3.63	2	15.21	2	37.55
Senior Officer POS	3rd Party	0.06	-	-	5	4	15	13	20	18	25	24.49	25	26.45	25	85.56	25	253.13
Senior Officer eCommerce	3rd Party	0.06	-	-	-	-	2	2	4	4	6	5.88	6	6.35	6	17.53	6	57.75
Senior Officer QR	3rd Party	0.06	-	-	-	-	5	4	6	5	8	7.84	8	8.48	8	25.94	8	79.55
Supervisor	3rd Party	0.07	-	-	3	3	5	5	6	6	7	8	7	8.64	7	30.61	10	97.14
POS Officers	3rd Party	0.05	-	-	8	5	10	7	13	10	15	12.24	15	12.22	15	47.48	21	143.11
Merchant App Data Entry Staff (BSG)	3rd Party	0.03	-	-	3	1	5	2	6	3	6	2.94	6	3.17	6	12.1	6	32.21
Total			-	-	37	36	62	60	77	79	89	96	89	104	89	375	98	1,064

- Given per head count allocation is based on approx. 250 relationships.
 - Future requirement of head counts would be directly proportionate with business growth.
 - For merchant complaints 1st level support will provided by Sales & Support field staff. For 2nd level support through call center sales and support staff can be placed as and when required.
 - For merchant recovery existing recovery team will be utilized.
4. Summary of previously approved and proposed staff strength as per new model is given below which is showing overall reduction of 18 permanent staff.

ABL Acquiring Business	Approved Staff Strength	Proposed Staff Strength - New Model	Impact
DBG	16	19	3
RMG	8	5	-3
BSG*	47	34	-13
SAMG	20	10	-10
ITG	0	5	5
Total	91	73	-18

Transport Activity Cost:

In case the Bank decides to go for cloud-based infrastructure, there will be no change in License & Maintenance fee proposed to ABL for SmartVista solution. However, there can be transport activity cost to it.

gn

Total Cost of Ownership (Resident Engineer Cost Removed):

Description	Yearly cost Comparison (Amount in USD)											
	Year I		Year II		Year III		Year IV		Year V		Total for 5 Years	
	Euronet	BPC	Euronet	BPC	Euronet	BPC	Euronet	BPC	Euronet	BPC	Euronet	BPC
Vendor Related Cost												
Implementation Cost	185,000	180,000		-		-		-		-	185,000	180,000
License Cost		200,000		-		-		-		-		200,000
Payment Scheme Gateway Services	45,000		45,000		45,000		45,000		45,000			225,000
Annual Recurring cost	40,000	40,000	157,995	40,000	148,365	40,000	338,161	40,000	418,955	40,000	1,217,676	200,000
ABL Infrastructure Cost												
Networks Cost (RAC + Router + Switches)	230,000	230,000	45,000	45,000	45,000	45,000	45,000	45,000	45,000	45,000	430,000	430,000
Acquiring Switch infrastructure		475,145		75,148		75,148		75,148		75,148		777,355
Customization/Contingency												
Customizations & Future Advancements	5,000	5,000	25,000	25,000	25,000	25,000	25,000	25,000	25,000	25,000	105,000	105,000
Phase II Cost												
E-commerce Gateway Cost*	132,909	118,988	226,518	112,641	358,977	239,255	941,994	394,704	1,290,778	511,001	3,148,978	1,396,618
Grand Total	937,709	1,310,147	449,321	343,769	673,846	470,434	1,350,235	625,352	1,775,731	764,149	5,086,557	3,914,171

*For Euronet we've taken MasterCard MPQS budgetary pricing.

5 Years Projection Cost - CAPEX, OPEX & Scheme Related Costs Segregated:

All Amounts in USD

Vendor & Scheme Cost (5 year Breakup)						
CAPEX COST	Year I	Year II	Year III	Year IV	Year V	Total
Implementation Cost BPC	180,000	-				180,000
License Cost	200,000	-				200,000
One Time Licence Cost Payment Schemes	403,000					403,000
Project Implementation Cost (VISA, MC, UPI & 1 Link)	61,500					61,500
Total CAPEX Cost	844,500	-	-	-	-	844,500
OPEX Cost	Year I	Year II	Year III	Year IV	Year V	Total
Payment Scheme Gate Services (BPC)	45,000	45,000	45,000	45,000	45,000	225,000
Annual Maintenance Cost	40,000	40,000	40,000	40,000	40,000	200,000
Customizations & Future Advancements	5,000	25,000	25,000	25,000	25,000	105,000
Total OPEX	90,000	110,000	110,000	110,000	110,000	530,000
Payment Scheme Related Cost	Year I	Year II	Year III	Year IV	Year V	Total
Payment Schemes Fixed Charges	236,000	118,000	118,000	118,000	118,000	708,000
Payment Schemes Recurring Charges	73,242	261,726	474,365	681,772	888,745	2,379,850
Total Payment Schemes Cost	309,242	379,726	592,365	799,772	1,006,745	3,087,850
Grand Total	1,243,742	489,726	702,365	909,772	1,116,745	4,462,350

MZA further stated that segregated cost for schemes recurring charges is directly proportionate to projected volumes which can vary as per business volumes growth. Furthermore, IT infrastructure cost is excluded from the aforementioned segregated cost details.

Decision:

After due deliberation, the Forum recommended the following for MANCO approval:

1. To award the project to M/s BPC as per **aforementioned segregated 5 Years Projection Cost (Exclusive of Tax)** on following **Payment Terms**:
 - i. All prices are stated in United States Dollar. BPC will raise its invoices in USD.
 - ii. All fees payable to BPC is net transferable, any applicable taxes shall be added over and above the BPC proposed price. BPC proposed price shall not be subject to any withholding or deduction of any amounts in respect of currency control restrictions or any taxes levies or duties
 - iii. Beside base 700 Man-days for project implementation, additionally a pool of 33 Man-days FOC has been allocated for any customizations/development/testing as may be required during or after project implementation. Any additional man day will be charged separately at USD 600 per man day.
 - iv. License Amount terms

100% Advance

v. Professional Services

30% on Functional Specification Signoff
25% on UAT Initiation
20% on UAT Completion Signoff
15% on Go Live Activity
10% after 45 days of Go Live Activity

vi. Maintenance

20% of license cost to be paid 100% in advance on yearly basis after the expiry of the warranty period (90 days from go live sign-off)

2. To accord approval for Card Schemes related cost implementation and recurring cost
3. To accord approval for **aforementioned Revised Resource Hiring Plan**
4. CAPEX & OPEX payments will be made through DBG Budget of Acquiring Business

There being no other matter, the meeting ended with the vote of thanks to the Chair.



-Sd-
Syed Kashif Hussain
Secretary



-Sd-
Mujahid Ali
Chairman

LIST OF PARTICIPANTS

S#	Name	Abbrev	Designation	Attendance
MEMBERS / SECRETARY				
1.	Mujahid Ali – Chief ITG	MUJ	Chairman	P
2.	Sohail Aziz Awan – Chief DBG	SAZ	Member	Leave of absence
3.	Imran Maqsood – Chief BSG	IMQ	Member	P
4.	Ahmad Mansoor - Chief CG	AHM	Member	P
5.	Syed Hassan Rizvi – GH-IT S&I-ITG	SHR	Member	P
6.	Ijaz Ahmed Ajmal - GH IT Operations	IAA	Member	P
7.	Nauman Ul Haq Qureshi – GH Software Delivery	NHQ	Member	Leave of absence
8.	Muhammad Tahir Khan – BI & Software Solutions	MTK	Member	P
9.	Mansoor Zaighum – GH Strategic Planning & Financial Reporting	MZG	Member	Leave of absence
10.	Muhammad Zaman – GH Digital Transformation	MZA	Member	P
11.	Zubair Sharif - GH Banking Policies & Procedures	ZSH	Member	P
12.	Muhammad Akbar - GH Enterprise Risk - RMG	AKB	Member	P
13.	Abdul Jabbar Karimi – GH IB Operations, Products, & Policies Management	AJK	Member	P
14.	Muqsit Hussain - GH Asset & Liability Product Development	MHU	Member	P
15.	Awais Ejaz – GH InfoSec & Governance	AEJ	Member	P
16.	Syed Kashif Hussain – DH PMO	SKH	Secretary	P
On Invitation				
17.	Mohsin Mithani – GH DFS and Innovation DBG	MMT	Permanent Invitee	P